

PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: April 16, 2025
Re: **Q1 2025 Letter to Partners**

Dear Partners:

For the quarter ended March 31, 2025, a total of \$8.3 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: \$0.3 million

PIF3: \$6.5 million

PIF4: \$1.5 million

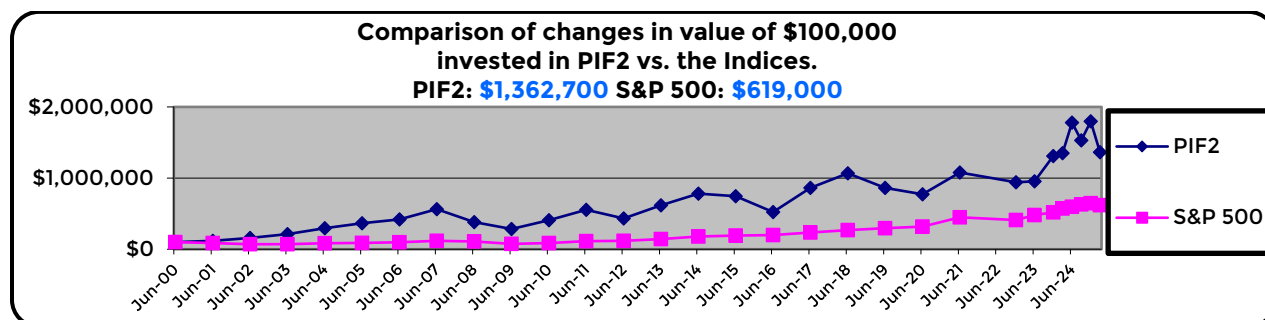
PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has three open slots. PIF2 is open to US-based investors who are Qualified Clients. The minimum investment to join PIF2 as a new partner is \$10 million.

PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$10 million. PIF3 is closed to new and existing IRAs but continues to be open to US foundations/endowments and foreign investors. PIF4 is closed to new investors and is only open to additions from existing investors.

For existing investors in any of the funds, the minimum addition to their current investment is \$25,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the July 1, 2025 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com. The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
7/1/22-6/30/23	19.6%	24.6%
7/1/23-6/30/24	24.5%	86.3%
7/1/24- 3/31/25	3.8%	-23.4%
1/1/25-3/31/25	-4.3%	-24.2%
Annualized	7.7%	11.2%
Cumulative	519%	1262.7%

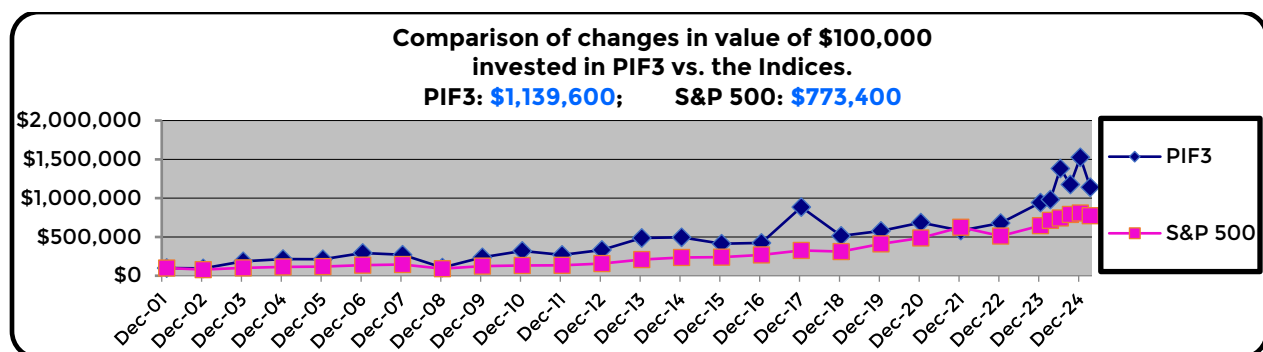


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,909,100 as of March 31, 2025 (net to investors). This equates to an annualized return of 12.1% since inception – after all fees and expenses. An investment of \$100,000 in the S&P 500 on July 1, 1999 was worth \$657,400 on March 31, 2025 – an annualized gain of 7.6%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-12/31/22	-18.1%	16.8%
1/1/23-12/31/23	26.3%	38.9%
1/1/24-12/31/24	25.0%	61.9%
1/1/25-3/31/25	-4.3%	-25.3%
Annualized	9.2%	11.1%
Cumulative	673.4%	1039.6%

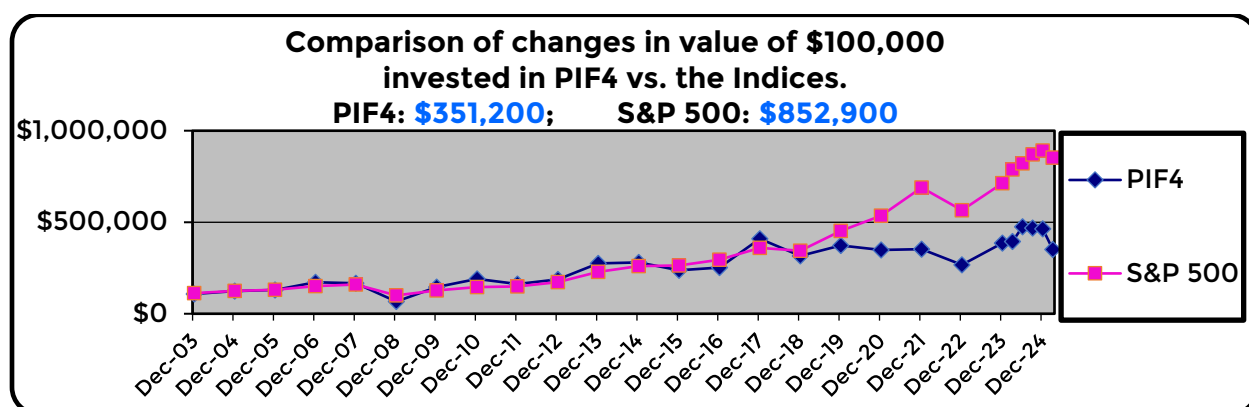


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$1,139,600 as of March 31, 2025 (net to investors). This equates to an annualized return of 11.1% since inception. An investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$773,400 on March 31, 2025 - an annualized gain of 9.2%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-12/31/22	-18.1%	-24.4%
1/1/23-12/31/23	26.3%	44.7%
1/1/24-12/31/24	25.0%	20.2%
1/1/25-3/31/25	-4.3%	-24.3%
Annualized	10.5%	6.0%
Cumulative	752.9%	251.2%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$351,200 as of March 31, 2025 (net to investors). This equates to an annualized gain of 6.0% since inception. An investment of \$100,000 in the S&P 500 on October 1, 2003 was worth \$852,900 on March 31, 2025 - an annualized gain of 10.5%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

All three funds had significant drawdowns of around 24-25% in Q1. Much of this is related to significant price drops in Reysas and our met coal holdings. While the met coal price drop is justified based on weak met coal index prices, Reysas dropped on no news.

After the end of quarter, the United States began imposing retaliatory tariffs globally. We still do not know how deep or wide these tariffs will end up being, or how long they will persist. We do know, however, that generally a world with higher tariffs will lead to lower growth in global GDP. There will be winners and losers. If high tariffs persist, the impact on our portfolio is difficult to predict. Here is my best guess about how our large, disclosed holdings would fare in a high tariff world.

Reysas

Reysas makes up over 43% of the consolidated AUM of Pabrai Funds. Their largest business is leasing warehouses, which is booming. Reysas' footprint is 99+% leased to blue chip tenants like Mercedes, Toyota, Carrefour, Ikea, Amazon, Dupont, etc. Recurring rental revenue is a beautiful thing. As I mentioned in our Annual Meeting, Reysas' per square foot rents are going through 100+% increases (in dollars) on leases that are expiring after ten years. Over 40% of Reysas' footprint is being re-leased or re-negotiated in the 2024-26 timeframe. Their rental business may not face much of a negative impact from tariffs.

Turkiye is part of the European common market and Turkish goods are exported to Europe with zero tariffs. That is not expected to change. If Europe buys less from the US, Turkiye may be a net beneficiary.

"The ideal business is one that earns very high returns on capital and can keep using lots of capital at those high rates. That becomes a compounding machine.... But there are very, very few businesses like that. Unfortunately, good businesses like Coca-cola or See's Candies don't require much capital."

Warren E. Buffett
2003 Berkshire Hathaway Shareholders Meeting

When we first bought Reysas in 2019, I thought I was buying only a seriously undervalued business. It turned out that Reysas is also the kind of great business Buffett is talking about. They have been able to redeploy their retained earnings at very high rates. That is why a business that was worth \$600-800 million in 2019 is now worth \$1.5 to \$2 billion. It is the gift that keeps on giving!

The party may get less interesting from 2026 onwards. Turkiye recently modified its REIT tax laws to make them closer to those in the US. Reysas will need to pay out at least 50% of the REIT's earnings as dividends to avoid being taxed at a high rate. There are worse

problems in life than having Reysas pump out healthy dividends to us. Reysas also initiated buybacks recently. Given how undervalued the stock is, that is a marvelous use of capital.

TAV Airports

TAV has many tailwinds, but if the economies in the region slow down due to the tariffs, it will most certainly affect TAV negatively. It is a business with high operating leverage. The incremental passenger at virtually all their airports represents an almost 100% margin. Operating leverage cuts both ways. A decline in their growth rate or passenger count will hit them hard.

TAV is also a business that usually earns very high rates on invested capital. Their Almaty deal was a tremendous home run. They invested about \$100 million of equity to make the Almaty bet in 2021. By 2027, if they choose to, they could easily sell their Almaty stake for several billion dollars.

TAV is likely to bid on several forthcoming tenders for airport related services in Montenegro, Kuwait and Cairo. There are also probably other airports they could expand to beyond these three. The biggest risk factor is overpaying for a concession. Airports come up for bid without incumbents maybe once or twice in a lifetime. Animal spirits can get unleashed to get access to these monopoly assets.

Alpha Metallurgical Resources (AMR)

Metallurgical coal prices have been very weak for the last several quarters. As I write this, AMR is losing money on 70% of their sales and making \$75-100 million a year on 30% of their volume. If the current weak met coal prices persist for the rest of the year, they are almost sure to have a net loss of \$100-\$200 million. With \$480 million of net cash, their balance sheet can handle it.

The tariff wars are going to reduce global steel production and thus metallurgical coal prices are likely to stay weak for a while. There is a silver lining. The tariffs are likely to lead to higher automobile and truck production in the United States, which will lead to higher domestically produced steel. For 2025, just 30% of AMR's output is being sold domestically. This number may be much higher in 2026. And because AMR's mines are close to the domestic steel mills, AMR can likely sell its production domestically at break even or better – even with weak global pricing.

This downturn is leading to a shutdown of many unprofitable metallurgical coal mines globally. Once a mine shuts down, the equipment gets pulled and sold. Workers are laid off and move on to other opportunities. When demand comes back, these mines are very hard to restart. The equipment lead times can be several years and hiring experienced coal miners is difficult. Coal is a four-lettered word. Debt and/or equity financing can be difficult even when coal prices are strong. The likely result is that the next boom may last for a while.

Warrior Met Coal (HCC)

Warrior's business is like AMR, only better. Warrior's coal sits near the bottom end of the global cost curve. Their new Blue Creek mine is even lower cost than their existing low cost met coal mines. In addition, Warrior's mines in Alabama are close to the port of Mobile, Alabama and their coal can be sent there by railroad or barge. This makes the rail cost per ton for Warrior to get their coal to the port far less than Alpha.

Warrior exports 100% of their output. Much of it goes to India and Asia. We'll see where the dust settles on imported met coal tariffs from the United States imposed by Japan, India, South Korea etc.

A low-cost commodity producer has a tremendous moat. Just look at Saudi Aramco. I love our Warrior bet. Their production is going through a step function increase in 2027 and it will be gushing cash in 2027 and beyond.

Pabrai Funds 2025 Annual Meeting Presentation

We had two very successful annual meetings in March and April. One in-person meeting at St. Edwards University in Austin and a virtual meeting. It was a pleasure to meet old friends and partners and welcome new ones. I'm very grateful to Kimberly and Pauline for all their diligence in organizing the various facets of the meetings and dinners so flawlessly. The Annual Meeting presentation slides are posted on our website (the password to access the video is "Munger"):

[Pabrai Funds/Dhandho 2025 Annual Meeting Presentation on Vimeo](#)

The transcript will be available under the [Annual Reports and Meetings tab](#) of our website by the end of April.

Alignment of Interests

My immediate family has a stake of 167,886 units of PIF2 and 227,121 units of PIF4. The administrative team at Pabrai Funds and I own 42,917 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 86,246 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$44 million.

Pabrai Funds charges no management fee, just performance fees – which are a fourth of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by the fact that my family, together with entities that I control, are collectively the largest investor in the funds. No fees were earned in Q1 2025.

I have an approximately \$4.2 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.4 million investment in Dhandho Holdings.

Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

New Bank and Wire Instructions for Subscriptions and Deposits

PIF2, PIF3 and PIF4 have all changed the bank that they use to accept incoming wires for new subscriptions and additional deposits from Northbrook Bank & Trust (Wintrust) in Chicago to Horizon Bank in Austin, Texas. As a result, the wire instructions that you will use to wire your contributions to any of the three funds have now changed to the Horizon Bank instructions. **Please do not use the Wintrust instructions anymore as those accounts are closed.** The Horizon instructions have all been updated on all our subscription agreements and deposit slips. If you have any questions or need any assistance, please do not hesitate to contact Kimberly Engleman at ke@pabraifunds.com.

Online Portal for Investment Statements and Audited Financials

Your 3/31 investor statements and the latest audited financial statements for each Fund have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, your final K-1s were uploaded to the portal mid-March. If you (or your accountant) need assistance downloading the K-1, please nudge Kimberly Engleman at ke@pabraifunds.com.

Firm Brochure, Brochure Supplement, and Privacy Notice:

The latest versions of Part 2A of our Form ADV (i.e., our Firm Brochure), Part 2B of our Form ADV (i.e., our Brochure Supplement), and our Privacy Notice can be found in the legal tab of our website: [Legal](#).

Annual Redemption Date Only for Retirement Account RMDs

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 73 years or older. The purpose of this is to allow folks who are 73 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

We recommend that these folks make their first redemption request with the next 5 years in mind and redeem 20% of their balance. They can then keep those retirement funds in cash or a low-cost index fund with daily liquidity (e.g., an S&P 500 index fund with their broker/custodian) and tap that annually for RMDs as needed. Then, each year, they can redeem an additional 3.5% - 7% to make sure that they have sufficient funds for RMDs at all times.

We need to receive the redemption request with 60 days' advance notice (i.e., by August 1st). Please nudge Kimberly Engleman at ke@pabraifunds.com if this is of interest and she will provide you with a redemption request form.

Annual Report – Will be out in Q2 2025

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2025.

Suggestion Box

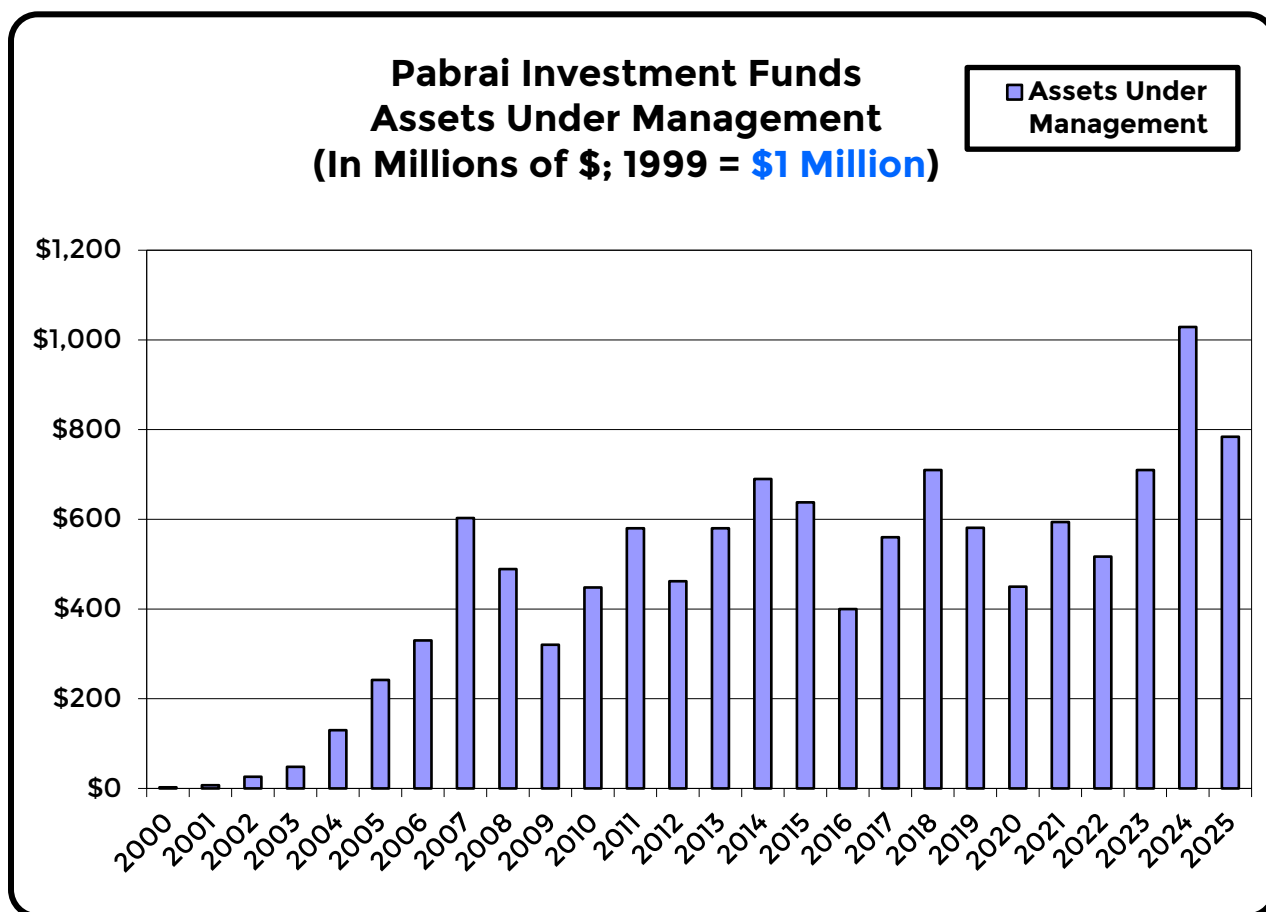
We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2026 Annual Meeting

As we did this year, we intend to have two annual meetings sequentially in April 2026: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds. We will provide dates for both events in future letters.

Assets Under Management

There is \$784 million in assets across all three funds as of March 31, 2025.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

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Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,688	06/30/2005	\$36.52
2,634,780	06/30/2006	\$41.99
2,969,380	06/30/2007	\$56.25
2,931,045	06/30/2008	\$38.01
2,463,647	06/30/2009	\$28.45
2,393,859	06/30/2010	\$40.84
2,257,420	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,884,302	06/30/2019	\$86.30
1,829,713	06/30/2020	\$77.13
1,833,800	06/30/2021	\$107.77
1,807,057	06/30/2022	\$76.64
1,861,149	06/30/2023	\$95.50
1,840,690	12/31/2023	\$130.96
1,861,689	03/31/2024	\$135.13
1,868,719	06/30/2024	\$177.96
1,901,452	09/30/2024	\$153.03
1,926,412	12/31/2024	\$179.67
1,935,651	03/31/2025	\$136.27

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
266,019	12/31/2002	\$9.48
479,673	12/31/2003	\$18.63
1,633,201	12/31/2004	\$21.37
2,450,650	12/31/2005	\$21.32
2,876,646	12/31/2006	\$29.37
6,336,472	12/31/2007	\$27.09
5,405,734	12/31/2008	\$10.57
5,038,652	12/31/2009	\$23.79
4,885,248	12/31/2010	\$31.95
4,701,614	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,375,863	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,798,683	12/31/2015	\$41.33
2,330,096	12/31/2016	\$42.27
2,381,430	12/31/2017	\$88.45
2,379,615	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,326,717	12/31/2020	\$68.52
2,438,032	12/31/2021	\$58.11
2,623,843	12/31/2022	\$67.86
2,629,823	12/31/2023	\$94.28
2,733,774	03/31/2024	\$98.12
2,800,444	06/30/2024	\$138.09
2,828,995	09/30/2024	\$117.58
2,686,957	12/31/2024	\$152.63
2,736,103	03/31/2025	\$113.96

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,055,843	12/31/2005	\$13.01
10,833,516	12/31/2006	\$17.23
15,891,190	12/31/2007	\$16.64
15,688,228	12/31/2008	\$6.66
14,864,752	12/31/2009	\$14.57
15,246,424	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,682	12/31/2013	\$27.53
10,641,808	12/31/2014	\$28.03
9,531,765	12/31/2015	\$23.71
8,701,894	12/31/2016	\$25.21
8,039,765	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,019,728	12/31/2020	\$34.82
5,759,043	12/31/2021	\$35.33
5,674,342	12/31/2022	\$26.69
5,304,941	12/31/2023	\$38.62
5,386,505	03/31/2024	\$39.47
5,793,964	06/30/2024	\$47.52
5,852,687	09/30/2024	\$46.79
5,646,298	12/31/2024	\$46.42
5,708,043	03/31/2025	\$35.12

Important Disclosures:

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Due to the high concentration in a small number of holdings, each Fund's performance may be hurt disproportionately by the poor performance of one or only a few stocks.

Before making any investment decision, consider whether it is suitable for you and consider seeking advice from your own financial or investment adviser.

Please be aware that our current and past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.